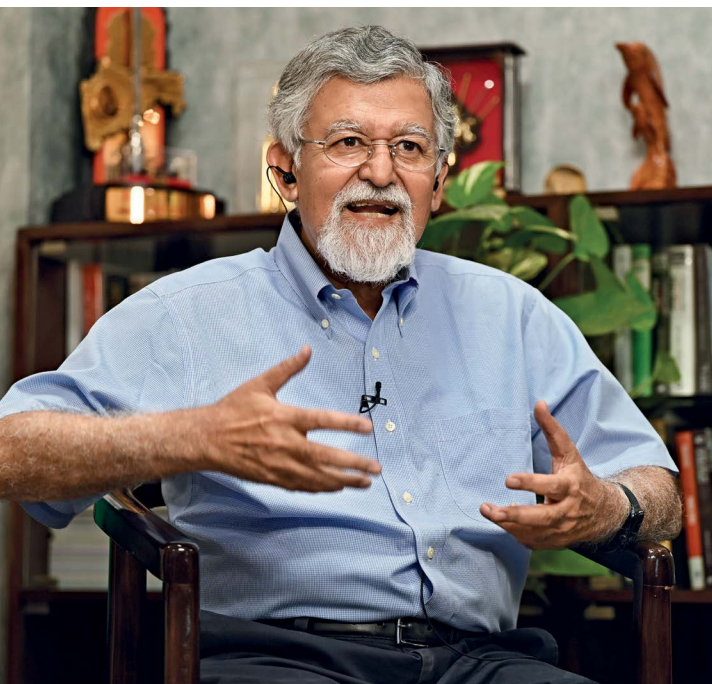




We know that the four labour codes were passed by Parliament. The idea is that all the state governments make the relevant rules so that there's uniformity. However, just because there is a national law, it does not stop any state from having a similar or even better law. **Hopefully, some of the more progressive or advanced states can lead the way. It's really a political issue. It's important since large and foreign firms are very scared of what they consider to be a relatively disorganised labour market compared to the ASEAN countries, for example, where they have made large investments in setting up supply chains.** I would urge states that want to promote supply chains to make these changes, because it reassures large companies that want to expand from 100 to 300, or 3,000 or 10,000 employees.

Q: Given the fact that land availability overall and contiguous pieces of land for industrial development is cited as an issue, what needs to be done?

A: Again, land is a state subject. So, firstly, we should note that different states have different land use laws, and some of this has been reviewed in the last Economic Survey. What we are trying to do at the central level is to bring cross-fertilisation of ideas to look at states that

have better, more flexible land use laws, whether it's for converting rural land to industrial use, or restrictions on the height of buildings, etc. If we want to encourage those who are going to generate economic activity, employment, this is an issue that needs to be solved. Different areas and industries have different solutions and so the intent is to nudge the states to see what is best for them and change it. Again, **from my discussion with international companies, what they need is large tracts of land. It doesn't always have to be contiguous, but definitely in the same city. It comes down to the recognition by the states that industry would be good for them, that you need to attract them to grow because they will generate jobs, higher wages, and employment.**

Q: What needs to be done to take deregulation forward?

A: Legal reforms have been going on for a decade or so and certainly we have made a lot of progress. But as an academic who's worked on these issues for a long time, I call it a jungle of controls that was built **in our socialist period, from Independence to 1980.** And it looks like an endless process, but it is not. One of the things that I have proposed in a working paper is using artificial intelligence (AI) to reform laws, rules,